

Canadian National Railway (TSX: CNR)

COMPANY DESCRIPTION

Canadian National Railway (CNR) is a resilient and strategically well positioned rail freight operator. Its mission is to power the economy by enabling global supply chains and moving goods sustainably and efficiently. It aims to deliver safe, consistent, reliable, and scheduled rail service, creating value for all stakeholders.

While its revenue consistently increased, it had slightly lower operating and net income in 2024 due to disruptions from labour strikes and wildfires in Alberta, which impacted freight volumes. However, operating for over a 100 years, CNR has proven its resilience in the past. In the long term, it has fared well through global crises and is focused on constantly improving both efficiency and capacity, highlighting its aim to continuously grow.

INDUSTRY OVERVIEW

Short Term Challenges	Long term Benefits
- Supply chain disruptions and macroeconomic headwinds - Very cyclical industry, impacted strongly by economic downturns - Geopolitical uncertainties, especially between Canada and the US	- Rail remains one of the most cost-effective and environmentally friendly transportation methods, mediating any long term impact. - Rail is the backbone of North-American trade

INVESTMENT THESIS

1. Customer centric solutions – providing them maximum value

CNR’s operating philosophy is “**Make the Plan, Run the Plan, Sell the Plan.**” This disciplined approach enables CNR to collaborate closely with customers (shippers), ensuring tailored, reliable service execution that drives efficiency across the supply chain. CNR helps businesses grow by offering Certified Rail Ready Sites – which are pre-approved, rail-accessible industrial sites – when a company wants to build or expand a facility and needs access to rail transportation. It saves time and reduces costs and risks for those companies, and is key to accelerating revenue growth and customer stickiness.

Combined with innovations like **Smart Terminals** and **customer-facing APIs**, CNR enhances real-time shipment visibility and automation, streamlining logistics for partners. Most importantly, even in times of disruption, such as the Jasper wildfires, CNR showed community leadership by deploying firefighting crews and support railcars to assist local responders — underscoring its dedication to both service and social responsibility.

This focus on providing customer value is not visible in the numbers, and the market has just reacted to the fall in earnings. But, CNR is still building a long term connection with customers, and when priced in will help increase the stock.

2. Exclusive Partnerships

CNR’s exclusive offer unique access and efficiency advantages that few competitors can replicate. In the US, CNR has acquired **Iowa Northern Railway**, which adds 175 route miles and enhances **single-line service to key Midwest markets**. This acquisition strengthens CNR’s position in the agriculture and energy corridors, enabling more direct,

Recommendation: Buy

MARKET DATA

Current Price	\$134.62
52-Week Range	130.02 – 175.57
Market Cap	\$84.38B
P/E Ratio	19.20
EPS	\$7.01
Beta	0.83

FINANCIALS (FY2024)

REVENUE & PROFITS	
Revenue	\$17B
Revenue Growth	1%
EBITDA	\$8.6B
Net Income	\$4.5M
Gross Profit Margin	74.35%

LIQUIDITY & DEBT	
Current Ratio	0.66x
EBIT/Interest Exp	7.1x
Total Debt/EBIDTA	2.54x

Canadian National Railway (TSX: CNR)

long-term freight relationships. Beyond its owned infrastructure, CNR is also deepening collaborations with Class I railroads like **Union Pacific** and **Ferromex** through the Falcon Premium corridor, offering customers a fast and reliable Canada–U.S.–Mexico route. Additionally, CNR’s joint intermodal services with **Norfolk Southern** extend its network’s access to the growing Southeastern U.S. markets.

These exclusive partnerships form a powerful ecosystem that gives CNR unmatched North American reach, and given these are recent their benefits are still being realised, and will slowly reflect in the company’s financials, increasing the stock’s value.

3. Strategic expansions – increasing capacity

CNR’s ongoing strategic expansions are focused on increasing capacity, improving efficiency, and unlocking new growth corridors. The company is enhancing infrastructure, scaling critical facilities, and integrating advanced technology to future-proof its network. It recently opened a fuel distribution centre in Toronto, with its second phase set to open in Q4 2025, doubling its capacity, positioning CNR to meet rising regional energy demand.

CNR is also tapping into energy-driven freight growth by expanding in Northeast BC, where natural gas drilling is accelerating. A new unit train facility opened in late 2024, with more terminals coming in 2025, positioning CNR at the heart of this accelerating sector. These expansions are complemented by major projects at **Prince Rupert** – a key port to which it has exclusive access - including REEF and CANXPORT, which will increase CNR’s export capabilities. Together, these initiatives illustrate how CNR is not only growing strategically but doing so in a way that ensures long-term growth and operational excellence, which will undoubtedly be reflected in the top line as the current new facilities are used and further planned projects are completed.

VALUATION

Based on the **DCF analysis** (Appendix 1), the intrinsic value of the stock is estimated at **\$170.04**, derived from projected revenues, and what proportion of that would convert to FCF, using a **WACC of 5.96%** (Appendix 3). But, using comparative analysis the target price was **\$155.79**.

However, the lower multiple companies in the list, Union Pacific and Norfolk Southern Corporation, mainly operate just in the US, making them less relevant for the Comps Analysis. The closest competitor in both route size and geography, Canadian Pacific Kansas City, actually has a lot higher multiples than CNR, implying that just looking at those two means CNR’s stock should be a lot higher than \$155.79. So, just looking at the DCF, we get an **upside of 26.3%**.

RISKS AND MITIGANTS

Risk 1: Continued labour disputes and wildfire disruptions

The problems that lowered net income and operating profit last year could continue. However, they have a strong operational recovery track record. CNR has also increased its resilience planning including adding more firefighting trains to tackle the issue.

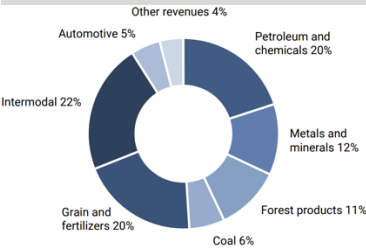
Risk 2: Macroeconomic uncertainty and slowdown in trade

They operate in a diversified freight mix (commodity groups), insulating them from volatility in any single sector. It also has long term supply chain partnerships which provide volume stability and predictability in terms of customers and orders.

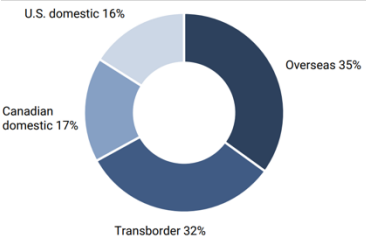
Risk 3: Very high & increasing debt level

Strong and consistent free cash flow generation, combined with planned and disciplined capital deployment means that CNR knows the path it’s taking. It has well thought out the upcoming large investments, meaning it must have done the calculations on whether it can sustain the debt level.

REVENUE BY BUSINESS UNIT



REVENUE BY GEOGRAPHY



KEY VALUE DRIVERS

1. Operational resilience – survived through crises for 100+ years
2. Unique Network of Assets
3. Disciplined yet Continued Capital Expansion
4. Strong acquisition activity and Partnerships

Discounted Cash Flow Analysis

Year	2022	2023	2024	2025	2026	2027	2028	2029	Assumptions
(All values in CAD million)				1	2	3	4	5	
Revenue	17,107	16,828	17,046	17,728	18,614	19,731	20,520	21,341	Recovering originally, but then gains are realised
Estimated Growth Rate		-1.6%	1.3%	4.0%	5.0%	6.0%	4.0%	4.0%	
Industry growth				7.3%	7.3%	7.3%	7.3%	7.3%	
Net income	5,118	5,625	4,448	5,318	5,957	6,511	6,772	7,043	Re-strengthening margins as strikes and wildfires reduce
Margins	30%	33%	26%	30%	32%	33%	33%	33%	
Operating Cash Flow	6,667	6,965	6,699	7,174	8,035	8,784	9,135	9,500	Average ratio from last few years
Ratio to Net Income	1.30	1.24	1.51	1.35	1.35	1.35	1.35	1.35	
Capex	(2,750)	(3,187)	(3,549)	(3,723)	(3,872)	(3,907)	(3,724)	(3,873)	Originally high investment, but then slowly reducing
Ratio to Net Income	(0.54)	(0.57)	(0.80)	(0.70)	(0.65)	(0.60)	(0.55)	(0.55)	
Free Cash Flow (FCF)	3,917	3,778	3,150	3,452	4,164	4,877	5,410	5,627	

Final Stock Price Calculation

Year	2025	2026	2027	2028	2029
Target Share Price using DCF Calculation					
Present Value of FCF	3,257	3,708	4,099	4,292	4,212
Terminal growth rate (Assumed)	2%				
Perpetuity Growth Terminal Value	144,877				
Present Value of Terminal Value	108,457				
Enterprise Value	128,026				
Cash	401				
Debt	21,371				
Equity Value	107,056				
No. of shares (millions)	630				
Target Share price (CAD)	\$ 170.04				

Comparable Company Analysis

Company	Ticker	Valuation		
		EV/Revenue	EV/EBITDA	P/E
Canadian National Railway	CNR	6.19	12.83	19.36
Canadian Pacific Kansas City	CP	8.08	16.33	25.46
Union Pacific	UNP	6.98	15.1	19.22
Norfolk Southern Corporation	NSC	5.27	12.49	19.39
High		8.08	16.33	25.46
75th Percentile		7.81	16.02	23.94
Average		6.63	14.19	20.86
Median		6.59	13.97	19.38
25th Percentile		5.50	12.58	19.26
Low		5.27	12.49	19.22

CNR Company Valuation		EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value		120630	124563	113755
Net Debt		21371	21371	21371
Cash		401	401	401
Minority Interest		0	0	0
Implied Market Value		98858	102791	92785
Shares Outstanding		630	630	630
Implied Value Per Share		156.92	163.16	147.28
Average Share Price from Multiples		155.79		

WACC Calculation

Debt	21,371
% Debt	20%
Cost of Debt	4%
Tax Rate	24%
Equity Value	85,260
% Equity	80%
Cost of Equity	6.69%
Risk Free Rate	3.10%
Beta	0.83
Market Risk Premium	4.33%
Debt + Equity	106,631
WACC	5.96%